charles SCHWAB

Portfolio Margin

Explore margin solutions with lower requirements and increased borrowing potential.

What is Portfolio Margin?

Portfolio Margin is an alternative method used for computing the required margin for stock and option positions based on the risk of a client's entire portfolio rather than the sum of individual positions and strategies. It analyzes the risk of the position rather than the fixed percentages of Regulation T (Reg T) and strategy-based margin—often resulting in lower margin requirements than would be calculated from the standard method.

How does Portfolio Margin work?

Portfolio Margin uses theoretical pricing models to calculate the loss of a position at different price points above and below a current stock or index price. These scenarios can measure the potential loss in the account that would result if certain changes in price or implied volatility occur to the positions in the account. The largest theoretical loss is the margin required of the position.

Calculating a positions Portfolio Margin requirement

Positions are allocated to separate portfolios within an account according to underlying security. A margin requirement is computed by stressing a portfolio at 10 equidistant intervals ("valuation points") representing assumed market moves, both up and down, in the current value of the underlying security or index. Gains and losses at each valuation point are netted and the greatest net loss among the valuation points is the margin requirement for that underlying security.

Several alternate calculations are also carried out that may detect risk from a variety of additional sources. The total margin requirement is the greater of:

- The sum of the margin requirements for each underlying security, or
- The maximum margin requirement calculated by the alternate calculations.

Portfolio Margin minimum requirements

- Each account must have an initial net liquidating value of at least $125,000.
- Smaller accounts cannot be combined to meet the $125,000 requirement.
- Available only to margin (non-IRA) accounts.
- Each account must be approved to trade short, uncovered options (Level 3).
- Each applicant must complete a 20-question portfolio margin test.

Frequently asked questions

How does leverage work with Portfolio Margin?

Portfolio Margin generally permits greater leverage in an account, however, it's important to understand that greater leverage may create greater losses in the event of adverse market movements.

What type of securities are eligible for Portfolio Margin?

Securities eligible for Portfolio Margin include equities, equity options, ETFs, and index options. Not all securities qualify for Portfolio Margin. For example, stocks under U.S. $3 and non-national exchange securities are ineligible. Ineligible securities will be held at standard Schwab margin requirements. Most leveraged ETF/ETP products and all non-standard options are ineligible for portfolio margin treatment.

What does concentration and stock specific risk mean?

Similar to Reg T, Portfolio Margin accounts will be subject to Risk Based Concentration (RBC). RBC occurs when the Point of No Return (PNR) is within the upper/lower bounds of Expected Price Range (EPR). Utilizing RBC methodology allows for lower base rates for Portfolio Margin eligible securities. Clients who have concentrated positions will experience increased requirements. This will be especially noticeable to clients concentrated in short-dated options.

In addition to margin requirements, Portfolio Margin accounts are held to the following house rules:

- SPX Beta Test (account wide stress test based on beta assumptions)
- Account Wide Uniform Stress Test (UMDR uniform stress test with a volatility shock)
- Security Concentration Stress Test (based on PNR vs. EPR)
- Margin Balance to Net Worth
- Vega to Net Worth
- Theta to Net Worth
- Net Short Unit Requirements
- We may apply additional stress tests to Portfolio Margin accounts due to the increased leverage

How much time will I have to meet a margin call for my client?

There are several types of calls that could occur in Portfolio Margin accounts:

- Standard maintenance and minimum equity calls typically have until the end of the second business day.
- Regulatory/OCC calls are typically due at the end of the second business day.
- Concentration calls are typically due the same day the call is issued.

Depending on market conditions, Schwab may liquidate your client's positions without prior notice to reduce risk in the account.

What happens if the accounts equity falls below $100,000?

Accounts that fall below the regulatory minimum equity requirement of $100,000 will be restricted to closing trades only until the equity in the account increases above $100,000 or Portfolio Margin is turned off.

Important: If Portfolio Margin is turned off (typically after the third day below the minimum equity), the account will reset to Regulation T calculations, which may result in higher margin requirements and the need to offset positions earlier than anticipated at greater risk.

Can I day trade in a Portfolio Margin account?

Yes, but day trading in a Portfolio Margin account requires substantially greater equity by regulation.

Portfolio Margin accounts that are found to engage in a day trading strategy without the required equity by regulation may lose eligibility for Portfolio Margin.

Connect with us today.

Ready to start using Portfolio Margin?

Email us at **ASPortfolioMargin@schwab.com** or contact your Relationship Manager.

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Use of portfolio margin involves unique and significant risks, including increased leverage, which increases the amount of potential loss, and shortened and stricter time frames for meeting deficiencies, which increase the risk of involuntary liquidation. Client, account, and position eligibility requirements exist, and approval is not guaranteed. Carefully read the Charles Schwab & Co. Guide to Margin and the Charles Schwab & Co. Margin Overview and Disclosure Statement for specific disclosures and more details. Charles Schwab & Co. Guide to Margin: https://www.schwab.com/resource/charles-schwab-guide-to-margin.

Charles Schwab & Co. Margin Overview and Disclosure Statement: https://www.schwab.wallst.com/pdf/activetrader/marginriskdisclosure.pdf.

It is the client's obligation to evaluate the risks of portfolio margin when making investment decisions. Charles Schwab & Co. (Schwab) reserves the right at its sole discretion to decline a client the use of portfolio margin. In the event Schwab decides to terminate a client's use of portfolio margin, the client's account may be converted to the standard margin account. The conversion of a portfolio margin account to a margin account may require the liquidation of positions.

Options carry a high level of risk and are not suitable for all investors. Certain requirements must be met to trade options through Schwab. Please read the options disclosure document titled "Characteristics and Risks of Standardized Options." Supporting documentation for any claims or statistical information is available upon request.

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